

Pagaya Technologies (PGY)

Fintech

USA

Recommendation: BUY

As of Second Round Pitch (03/30/2027)

Current Price: US\$12.47

Shares Outstanding: 71.24M

Market Capitalization: US\$1.24B

Price to Earnings: 16.12

1 Year Target Price: US\$ 18.92

5 Year Target Price: US\$ 32.51

5 Year CAGR: 24% (from presentation date price)

\$14.99 ↑ 58.62% +5.54 1Y

After Hours: \$15.06 (↑ 0.47%) +0.070

Closed: Apr 17, 7:57:43 PM GMT-4 - USD - NASDAQ - Disclaimer

1D 5D 1M 6M YTD 1Y 5Y MAX



Company Overview:

Pagaya Technologies Ltd. (NASDAQ: PGY) operates as a product-focused financial technology company. Founded in 2016 in Israel and now headquartered in New York, New York, the business operates as business-to-business-to-consumer (B2B2C) lending technology provider. The company went public via a SPAC merger in September of 2021.

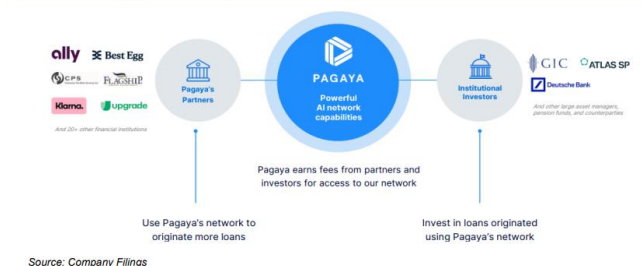
Business & Products Overview:

Pagaya Technologies acts as the middleman between financial lenders (e.g. banks and non-banks) who want to offer loans to their subprime and nonprime customers but cannot directly originate and securitize the loans and investing partners (e.g. hedge funds, private equity funds, sovereign wealth funds, insurance companies) who want access to high-yielding consumer credit.

Pagaya's six main API products serve as the software infrastructure layer that directs capital from institutional investors to consumer borrowers through the banks' or POS system's front-end infrastructure (e.g. Ally Financial, Klarna, Square, SoFi), while ensuring payments by the consumers are ultimately routed back to the appropriate end institutional investors in exchange for a fee.

Pagaya is also a leading issuer in the U.S. personal loan asset-backed securities (ABS) market.

FIGURE 7. Pagaya's Marketplace Structure



Business Customers #1: Lenders

For lenders, Pagaya’s unique value proposition is offering white-label tools, software, and access to funds for the lenders to access non-prime and sub-prime consumer borrowers. In doing so, lenders (such as Klarna, Ally Financial, SoFi, Lending Club) can originate loans to consumers under their own brand name without having to hold the loans on their books.

In other words, Pagaya serves a fundamental need for bank/non-bank consumer lenders. Pagaya allows these companies to originate loans and receive underwriting and servicing fees without holding the securitizations on their balance sheet.

Under the Dodd-Frank Act, the Credit Risk Retention Rule (Regulation RR) requires banks to hold at least 5% of any securitization on their book until maturity. See Dodd-Frank Wall Street Reform and Consumer Protection Act § 941, 15 U.S.C. § 78o-11 (2024).

Moreover, industry regulations make holding subprime and nonprime securitizations on banks’ books prohibitively expensive. See Basel Committee on Banking Supervision, Revisions to the securitization framework (Dec. 2014, rev. July 2016).

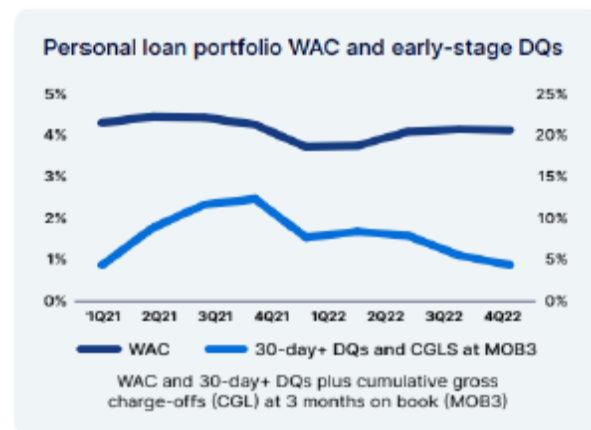
Pagaya has 30+ lending partners (2025 YE), with 100% retention with many of the

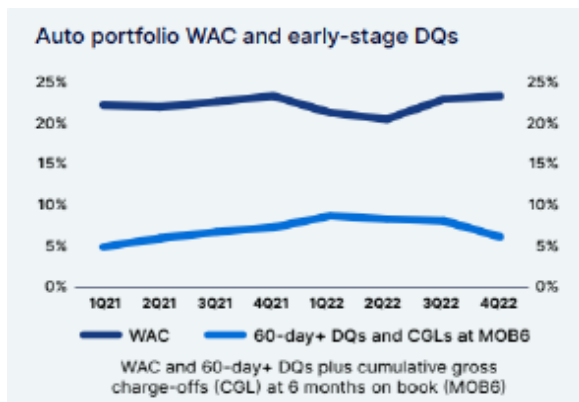
leading top 25 banks. Pagaya is in conversations with >80% of the top 25 addressable U.S> banks.

Company	Lender Type
Ally Bank	Automotive*
Automotive Credit Corporation	Automotive
Avant	Personal, Credit Card
Consumer Portfolio Services	Automotive
First Help Financial	Automotive
Flagship Credit Acceptance	Automotive
Klarna	BNPL
LendingClub	Personal, Automotive, Business, Medical
Marlette Funding	Personal, Credit Card
Prosper	Personal, Home, Credit Card
SoFi	Personal, Student, Home
Tally	Personal (Line of Credit)
Upgrade	Personal, Automotive, Home, Business
Westlake Services	Automotive

Business Customers #2: Institutional Investors

For institutional investors, Pagaya’s unique value proposition is immediate access to consumer credit at very attractive yields. In fact, Pagaya’s credit performance offers weighted-average coupons (“WAC”) of 20-25%.





Pagaya has meaningfully growth their end investor base since 2019 from one very large sovereign wealth fund to 150 funding partners.

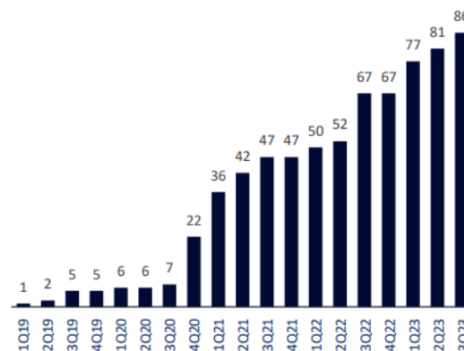
Consumer Customers: Consumer Borrowers

Pagaya has meaningfully expanded into multiple consumer credit markets: (1) Personal loans, (2) Auto Loans, and (3) Point-of-Sale loans.

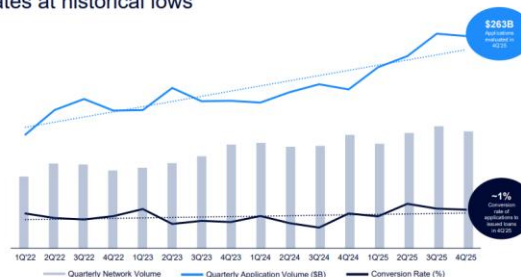


Pagaya maintains underwriting standards. Pagaya published that the

approval rate remains around 1%, which is unchanged for several years., and continue to grow their network volumes.



Growing network volumes while maintaining conversion rates at historical lows



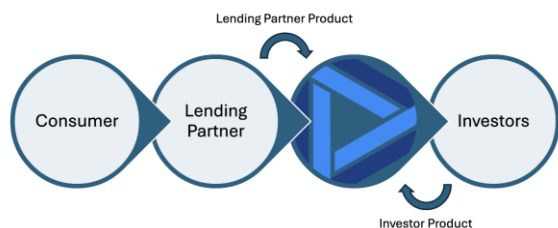
With strong economic value propositions for (1) banks/non-bank consumer lenders, (2) institutional investors, and (3) subprime/non-prime consumers needing financing, Pagaya sits in a unique position as the software intermediary between lenders, servicers, and borrowers.

Investment Thesis:

We rate Pagaya Technologies a BUY with a 5 Year Target Price of \$32.51. Based on our thesis outlined below, we believe that Pagaya can continue to grow revenues at 10-12.5% CAGR over the next five years. With modest operating leverage, we

believe that Pagaya can generate around \$2.00 to \$2.50 in non-GAAP EPS, that implies \$32.50 price target using 15.0x exit P/E multiple that has been the historical average using extremely conservative comps. Our full valuation is detailed thoroughly in our submitted financial excel model.

1. Pagaya Has Unique Position Connecting Lenders, Investors, and Consumers:



Pagaya sits between lending partners and investors, giving it fee opportunity from both parties. Specifically, Pagaya connects 150+ unique investment firms with 30+ lenders across 5 asset classes.

Pagaya has built a thorough AI underwriting technology that enables it to screen for quality loans that are rejected by traditional lenders (see next thesis point). It anonymously connects these loans with its investors, allowing the lenders to retain their relationships with their borrowers (consumers) and allowing investors to access a robust market of near-prime lending.

In addition to establishing this niche position, Pagaya has produced a strong data moat as the AI underwriting models have been trained on the near-prime market.

2. Prime Financial Have Historically Underserved Non-Prime / Subprime Markets:

Historically, lenders have been constrained by (1) U.S. regulations and (2) Basel III mandatory capital restrictions. As a result, lenders have been largely averse to lending to consumers with either no credit or credit below 720+ FICO score.

Specifically, traditional lenders have been pushed toward more conservative lending by regulatory capital and governance incentives. Between Dodd-Frank's consumer-protection framework, the Fed's stress-testing, and Basel III RWA rules, near-prime lending has become increasingly costly due to capital holding requirements. This backdrop has not statutorily created a 720+ cutoff, but has made it so capital inefficient to lend below 720 that most banks simply will not originate and securitize for fear of costly Basel III capital reserves.

3. The Underserved Subprime / Non-prime Market is Massive at \$90 Billion in Annual Volume

According to the Consumer Financial Protection Bureau, 26 million U.S. adults are credit invisible and 19 million cannot be scored. Further, the National Bureau of Economic Research found that 47% of subprime and 70% of near-prime borrowers were misclassified.

Relying on primary data from the Federal Reserve, Equifax, and Consumer Financial Protection Bureau, we conducted bottom bottom-up analysis points to around *\$90 billion in potential annual volume that is untapped or overcharged*.

4. We Believe That Pagaya Can Continue to Penetrate This \$90 Billion Annual Credit Market

Even a conservative 5–10% of declined prime applications in large retail and e-commerce channels could represent tens of billions in annual funded volume.

Pagaya has been the #1 leading originator of ABS in these underserved consumer markets for the past five years.

As such, Pagaya's is experiencing strong *cross-side network effects* tailwinds, as marketplace/middleman for connecting investors with lenders and consumers.

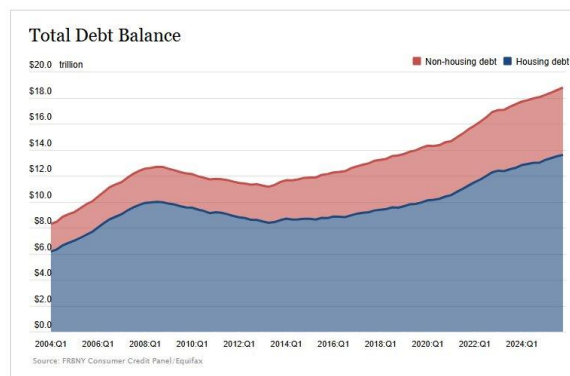
On the institutional investor side, it continues to meaningfully grow its institutional investor basis +25% YoY to 158 institutions. The risk-adjusted returns

for consumer credit continue to be very strong.

Near-prime APRs typically 300–800 bps higher than prime, and portfolio yields often in the mid-teens to mid-20% range with low single digit delinquency rates.

On the financial lender-side, Pagaya has 30 lending partners and is in talk with several of the top 25 financial institutions globally, to continue to tap into the current 60 million consumers.

In fact, Pagaya is currently in conversations with targeting >80% of top 25 addressable U.S. Banks by asset size.



5. De-Risking its Balance Sheet Through “Forward Flow Agreements” with Institutional Investors

Finally, one important point to our thesis is the de-risking of Pagaya's balance sheet. Currently, Pagaya's valuation has been significantly due to material credit concerns.

Specifically, due to regulations mentioned above, Pagaya has typically

held the \$300mm to \$500mm non-prime/near-prime/subprime securitizations on their balance sheet.

However, we are optimistic that Pagaya can derisk their balance sheet and achieve a meaningful equity valuation rerate.

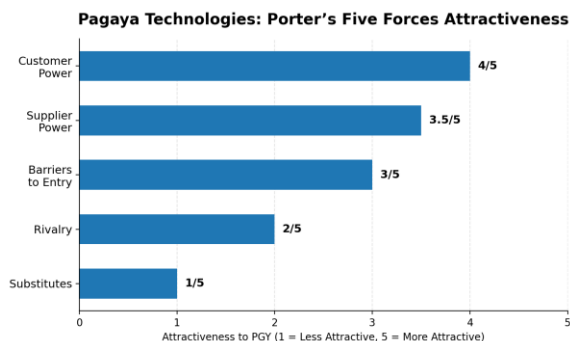
Pagaya has been engaging with several hedge funds and signed several forward flow agreements (“FFA”)

FFAs do not have to satisfy the U.S. 5% credit risk retention rule.

The 5% rule applies to a “securitization transaction”, and the regulation defines that as a transaction involving the offer and sale of asset-backed securities by an issuing entity. The rule requires the sponsor of a securitization transaction to retain risk, generally at not less than 5%.

This allows Pagaya to meaningfully reduce the credit concerns on its balance sheet.

Competitive Positioning/Industry Analysis -- Porters Five Forces:



Barriers to Entry – MEDIUM (3/5)

The industry has some barriers to entry but also lacks some strong barriers that exist in other industries. Pagaya has leveraged network effects by building out its data moat and enhancing the quality of its underwriting models. However, there are no PPE costs in this industry, and coding a like model is not impossible for new entrants or competitors.

Bargaining Power of Customers – LOW (4/5)

Lending partners are obliged by the current regulatory environment to maintain conservative lending practices. They lack power because they rely on Pagaya and like firms to maintain relationships with their near-prime customers. Investors may have some more power, but they still seek out quality underwriters, and that is what Pagaya offers with its AI models.

Bargaining Power of Suppliers – MEDIUM LOW (3.5/5)

In this industry, some of the suppliers are also the customers. To serve investors, Pagaya relies on the supply of loan applications from banks, and in order to serve them Pagaya relies on the supply of money from investors. But Pagaya also relies on data providers and technology vendors. These providers have more power because they are in increasingly

high demand. Also, Pagaya has instituted forward flow agreements, enabling it to offload liabilities from its balance sheet and commit demand for loans even before the loans are originated.

Intensity of Competitive Rivalry – MEDIUM-HIGH (2/5)

Competitive rivalry is high as banks, lenders, and investors develop their own methods of screening for viable loan opportunities. That said, Pagaya has carved out a niche for itself and has yet to be confronted with a clear, direct competitor in this space.

Threat of Substitutes – HIGH (1/5)

This threat is high with the advent of the AI boom. Underwriting models may require less data than they used to be effective, and thus Pagaya's data moat might be eroding. Lenders may be able to substitute for in-house underwriting.

Risks

Fluctuations in consumer credit performance

Pagaya has done a great deal to insulate itself from the fluctuations of the consumer credit market, but it is not immune to them. While its direct exposure has been diminished through the use of forward flow agreements, Pagaya still sits on a significant book of consumer credit, and is forced to retain a

meaningful portion of originated loans if not pre-committed via mechanisms that allow for it to avoid the required percentage of exposure to the loans it originates. This is directly shown in management's opinion of 2026 being a weaker year in which they will be forced to scale back originations to avoid over-exposure to weaker credit markets.

Reliance on funding partners

Pagaya has secured a significant portion of its future business through forward flow agreements, and private funding partners have committed significant capital, but Pagaya's overdependence on these funding partners may cause problems in the future. The appetite for consumer credit exposure may die down fast, and Pagaya may be forced to tap into more expensive or risky sources of capital to originate loans via its system and be able to service its lending partners at the levels previously seen.

Regulatory frontier exposure

Pagaya operates in a novel category of financial technology and is thus exposed to ever-changing regulations. Some of its core products and technologies are especially vulnerable to future enforcement and regulatory scrutiny, such as machine-learning and AI-based underwriting, subprime consumer credit origination, and even through the



PAGAYA



mandatory risk exposure of 5% of
originated loans. (See image below)

Management

Gal Krubiner – Co-Founder & Chief Executive Officer

Since co-founding Pagaya in 2016, Gal Krubiner has led the company's vision to transform credit markets through AI, drawing on his deep expertise in structuring and distributing sophisticated credit and asset-backed securities from his tenure at UBS AG.

Sanjiv Das – President

Joining in 2023, Sanjiv Das oversees Pagaya's commercial strategy and growth, leveraging over 30 years of global financial leadership as former CEO of Caliber Home Loans and Citi's Mortgage Division to scale the company's lending network and strategic partnerships.

Evangelos Perros – Chief Financial Officer

Appointed as CFO in early 2024 after serving as Deputy CFO, Evangelos Perros manages Pagaya's financial operations and corporate development, bringing over 25 years of experience from leadership roles at Apollo Global Management and JPMorgan Chase & Co. (NYSE:JPM).

Avital Pardo – Co-Founder & Deputy CEO

As the primary architect of Pagaya's AI-based credit models, Avital Pardo leads the company's technology and product strategy, building on his previous

experience as a lead data scientist at Fundbox and his background in mathematics and physics.

Yahav Yulzari – Co-Founder & Deputy CEO

Yahav Yulzari transitioned to Chief Business Officer in 2024 after serving as Chief Revenue Officer since 2016, where he now focuses on global commercial expansion and growth activities, utilizing his entrepreneurial background to drive the company's market presence.



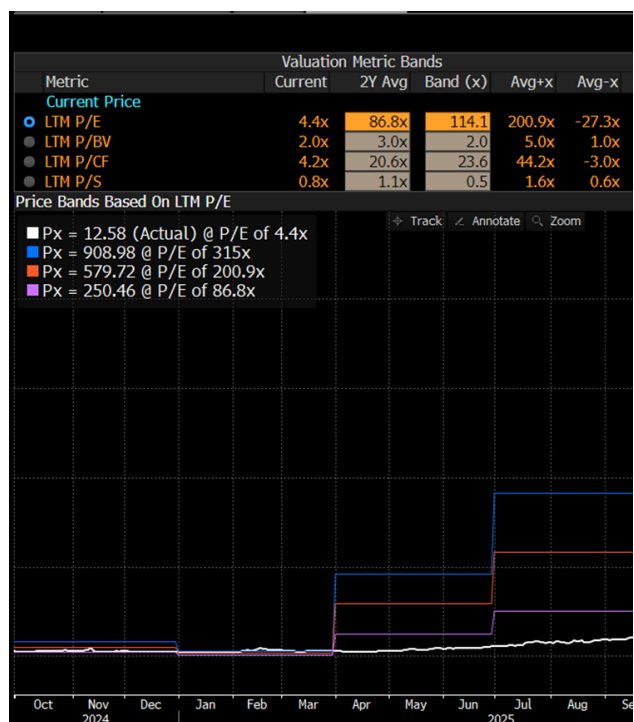
PAGAYA TECHNOL-A

Drivers

Target Price

Valuation

Multiple	Value	Weight
DCF	\$ 308.92	1.00%
TEV / EBITDA	\$ 2,746.32	9.00%
P/E	\$ 2,345.09	90.00%
		100.00%





Other Financials

In Millions of USD	2022 Y	2023 Y	
12 Months Ending	12/31/2022	12/31/2023	12/31/2023
Market Capitalization	847.3	1,027.8	
- Cash & Equivalents	310.8	189.0	
+ Preferred & Other	211.9	180.3	
+ Total Debt	188.7	315.7	
Enterprise Value	937.1	1,334.8	
Revenue, Adj	748.9	812.1	
Growth %, YoY	57.8	8.4	
Gross Profit, Adj	-	-	
Margin %	-	-	
EBITDA, Adj	-209.4	19.7	
Margin %	-28.0	2.4	
Net Income, Adj	-266.5	-56.3	
Margin %	-35.6	-6.9	
EPS, Adj	-7.34	-0.94	
Growth %, YoY	-69.89	87.22	
Cash from Operations	-40.0	9.6	
Capital Expenditures	-22.4	-20.2	
Free Cash Flow	-62.4	-10.6	



Consolidated Statements of Operations

PAGAYA TECHNOLOGIES LTD.
CONSOLIDATED STATEMENTS OF OPERATIONS
FOR YEAR ENDED DECEMBER 31, 2025, 2024 AND 2023
(In thousands, except share and per share data)

Revenue
Revenue from fees (1)
Other Income
Interest income
Investment (loss) income
Total Revenue and Other Income
Production costs
Technology, data and product development
Sales and marketing
General and administrative
Total Costs and Operating Expenses
Operating Income (Loss)
Gains and (losses) on investments in loans and securities (2)
Other expenses, net (2)
Gains and (losses) from extinguishment of debt (2)
Income (Loss) Before Income Taxes
Income tax (benefit) expense
Net Income (Loss) Including Noncontrolling Interests
Less: Net income (loss) attributable to noncontrolling interests
Net Income (Loss) Attributable to Pagaya Technologies Ltd.
Earnings (loss) per share attributable to Pagaya Technologies Ltd. ordinary shareh
Basic
Diluted
Weighted average shares outstanding:
Basic
Diluted

(1) Includes related party revenues of \$652.7 million, \$679.1 million and \$622.2 million additional information regarding transactions with related parties.
(2) Prior period amounts have been reclassified to conform to the current period's present

Consolidated Balance Sheet



PAGAYA



PAGAYA TECHNOLOGIES LTD.
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR YEAR ENDED DECEMBER 31, 2025, 2024 AND 2023
(In thousands)

Cash flows from operating activities

Net income (loss) including noncontrolling interests
Adjustments to reconcile net income (loss) to net cash used in operating activities:
Equity method and other investments loss (income)
Depreciation and amortization
Share-based compensation
Fair value adjustment to warrant liability
(Gains) and losses on investments in loans and securities (1)
Write-off of capitalized software and other assets
Amortization of deferred costs
Losses (gains) from extinguishment of debt
Losses (gains) on foreign exchange
Other non-cash items
Change in operating assets and liabilities:
Fees receivables (1)
Accrued interest on investments (1)
Right-of-use assets
Other assets
Accounts payable
Accrued expenses and other liabilities
Operating lease liability
Income taxes

Net cash provided by (used in) operating activities

Cash flows from investing activities

Proceeds from the maturity and prepayment of investments in loans and securities (1)
Proceeds from the sales of investments in loans and securities
Proceeds from equity method and other investments
Cash and restricted cash acquired from Darwin Homes, Inc.
Purchases of investments in loans and securities
Purchases of property, equipment and software
Purchases of intangible assets
Purchases of equity method and other investments
Purchases of other assets (2)
Acquisition of Theorem Technology, Inc., net of cash acquired

Net cash used in investing activities

Cash flows from financing activities

Proceeds from sale of ordinary shares, net of issuance costs
Proceeds from long-term debt
Proceeds from exchangeable notes
Proceeds from issuance of redeemable convertible preferred shares, net
Proceeds from secured borrowing
Proceeds received from noncontrolling interests
Proceeds from revolving credit facility
Proceeds from exercise of stock options, warrants and contributions to ESPP
Proceeds from issuance of ordinary shares from the Equity Financing Purchase Agreement
Distributions made to noncontrolling interests
Payments made to revolving credit facility
Payments made to secured borrowing
Payments made to long-term debt
Debt issuance costs
Settlement of share-based compensation in satisfaction of tax withholding requirements

Net cash provided by financing activities

Effect of exchange rate changes on cash and cash equivalents, and restricted cash and cash equivalents
Net increase (decrease) in cash and cash equivalents, and restricted cash and cash equivalents
Cash and cash equivalents, and restricted cash and cash equivalents, beginning of period

Cash and cash equivalents, and restricted cash and cash equivalents, end of period

Reconciliation of cash and cash equivalents, and restricted cash and cash equivalents within the consolidated balance sheet to the amounts shown in the statements of cash flow above:

Cash and cash equivalents
Restricted cash and cash equivalents
Total cash and cash equivalents, and restricted cash and cash equivalents

Supplemental disclosures of cash flow information

Cash paid for income taxes (3)
Cash paid for interest expense
Cash paid for operating leases

Supplemental disclosure of non-cash activities

Initial recognition (derecognition) of right-of-use assets and operating lease liability
In-kind distributions
Issuance of ordinary shares in connection with acquisitions
Stock-based compensation included in capitalized internal-use software
Contingent consideration liability in connection with the acquisition of Theorem